

**ChE 427 (Entrepreneurship in Chemical Engineering)**

Department of Chemical Engineering

University of Illinois at Chicago

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**Anderson Quiz:**

- 1- Motivation - The most important thing for an entrepreneur is making money.
- 2- Mission – Potential employees would rather work for a company that has a noble mission than one that pays the highest salary.
- 3- Intellectual property – I have written a computer code. Should I protect my intellectual property with a trademark, patent, or copyright?
- 4- Team Building – It is better to find co-founders who think alike, rather than think differently.
- 5- Strategic planning – Deciding whether to have a sale next week is an example of strategic thinking.
- 6- Sales/Marketing
  - If a product is good enough and marketed well enough, salespeople aren't necessary.
  - The most important task of the marketing department is writing good ads and maintaining the website.
  - Product/Market Fit – An amazing product idea with limited

- 1- Money is important, but I think fame or being recognized by public is also important. For me if you have a certain level of recognition, you have more chance to catch the opportunities.
- 2- I think employees prefer the companies that pays more. The quality of workers is more important than their number, so their salary should be the highest while considering the job description.
- 3- I would not only legally protect the code that I wrote, but also I will make sure that I have comprehensive patent by considering every possible future scenario.
- 4- Sometimes having a cofounder might help you to take multiple steps at the same time but, it's important to clearly define the the percentage rights with in the company from a legal standpoint.
- 5- I believe these moves, like sale, should be thought about at least two months ago.
- 6- Just as the spine is vital for a person to stand up, marketing is equally important for sustaining a business. Every action that taking for marketing have a vital position

sales is better than a boring product with massive sales.

- 7- Funding – Good investors squeeze as much money from founders to increase their return on investment.
- 8- Accounting – What is the profit of a company with \$1,000,000 in annual revenue, fixed costs of \$100,000 per year, and variable costs of \$400,000 per year? What is the percent profit margin?
- 9- Finance – My company can earn \$200,000 profit per year by investing \$3,000,000. Should I borrow money for that project with an interest rate of 8%?
- 10- Cash flow – our company buys parts from overseas with upfront payment and 9-10 weeks lead time. It takes our production team 4 weeks to build and ship products to customers. Our COGs are 50% and labor cost is 15% of selling price, what payment terms should we request from our customers to stay cash flow positive.
- 11- Manufacturing – Manufacturing work force is abundant, and most manufacturing workers do not need math or computer skills.
- 12- Human Resources – Objective is to hire people at the lowest possible salary
- 13- Economics – A good way to increase profit is to raise the price
- 14- Legal – Pick one – You need a lawyer to help you find ways around laws that restrict your business. Your lawyer needs to know the law. (You can provide the business

7- I agree, so multiple iterations might be useful for this case of scenario. So that, we can split the interest rate

$$8- 100,000 \$ + 400,000 \$ = \underline{500,000 \$}$$

$$400,000 \$ \approx \text{major}$$

↓ fixed  
expense

$$1,000,000 - 500,000 = 500,000 \$ \text{ per year.}$$

↓ profit

$$9- \text{invested } 3,000,000 \$ \rightarrow$$

$$\text{returning } 3,240,000 \$ \text{ (7.8\% interest)}$$

I don't think so.

11- I don't agree.

12- No, the company needs top employees on the sector to be able to achieve success so that the offers should be highest. So that the company can have the people from other successful firms and can benefit from their abilities and network.

13- I don't think this is the only way. The amount of sales and expenses should be checked.

14- Yes, I need a good lawyer.

background). A good lawyer keeps you out of trouble, not waiting until you have messed up.

15- Global business – The primary reason globalization is important is that it gets us a source of inexpensive labor.

16- Project management – To make sure a project gets finished on time you should plan for extra workers and overtime during the last month.

17- Environment – If you don't pollute either air or water you are good to go.

18- Customer service –

- Providing good customer service is very costly.
- Providing good customer service improves profit

19- Research and development – Ideas for new products usually come from PhD scientists.

20- Ethics – True or False – Safe design of bridges is the responsibility of the manager of engineering.

15 - Also globalization bring many other opportunities and network to the business.

16 - First I should try to understand why we need extra time or workers to finish the work.

17 - I don't think so.

18 - " Providing a good customer service improves profit.

19 - The ideas can always come from anyone or anywhere.

20 - I think for everyone's job to make sure there is no safety issues around.